



Income Tax Department

Ministry of Finance, Government of India

⁸⁰[Calculation of taxable interest relating to contribution in a provident fund or recognised provident fund, exceeding specified limit.

9D. (1) For the purposes of the first and second provisos to clauses (11) and (12) of section 10, income by way of interest accrued during the previous year which is not exempt from inclusion in the total income of a person under the said clauses (hereinafter in this rule referred to as the taxable interest), shall be computed as the interest accrued during the previous year in the taxable contribution account.

(2) For the purpose of calculation of taxable interest under sub-rule (1), separate accounts within the provident fund account shall be maintained during the previous year 2021-22 and all subsequent previous years for taxable contribution and non-taxable contribution made by a person.

Explanation.—For the purposes of this rule,—

(a) Non-taxable contribution account shall be the aggregate of the following, namely:—

(i) closing balance in the account as on 31st day of March, 2021;

(ii) any contribution made by the person in the account during the previous year 2021-22 and subsequent previous years, which is not included in the taxable contribution account; and

(iii) interest accrued on sub-clause (i) and sub-clause (ii),

as reduced by the withdrawal, if any, from such account;

(b) Taxable contribution account shall be the aggregate of the following, namely:—

(i) contribution made by the person in a previous year in the account during the previous year 2021-22 and subsequent previous years, which is in excess of the threshold limit; and

(ii) interest accrued on sub-clause (i),

as reduced by the withdrawal, if any, from such account; and

(c) The threshold limit shall mean:

(i) five lakh rupees, if the second proviso to clause (11) or clause (12) of section 10 is applicable; and

(ii) two lakh and fifty thousand rupees in other cases.]

80. Inserted by the IT (Twenty-fifth Amdt.) Rules, 2021, w.e.f. 1-4-2022.

